

JPM USD High Yield Bond Active UCITS ETF

Tickers: JPHY, JPUA, JPYH

Topline

Monthly returns	
Fund	Benchmark
▲ 0.88%	▲ 0.99%
Benchmark : ICE BofA US High Yield Constrained Index	
Markets High yield (HY) posted positive returns in August as spreads tightened, with the market delivering its strongest gain in four months amid a supportive earnings season, a surprise longer-dated Treasury buyback announcement and lighter capital market and secondary trading activity.	
Helped Overweight to capital goods.	
Hurt Underweight to finance.	
Outlook Through the balance of the year we expect investors to remain focused on disciplined, bottom-up credit selection, with an emphasis on identifying idiosyncratic opportunities.	

Past performance and forecast is not a reliable indicator of current and future results.

Fund Overview

Investment objective

The objective of the Sub-Fund is to achieve a long-term return in excess of the Benchmark by actively investing primarily in a portfolio of USD-denominated below investment grade corporate debt securities.

Trading information

Stock exchange	Exchange ticker	Trading currency	Bloomberg ticker	Reuters RIC	Sedol
London Stock Exchange	JPHY	USD	JPHY LN	JPHY.L	BQB7XF7
London Stock Exchange	JPYH	GBP	JPYH LN	JPYH.L	BP2V4J2
SIX SWISS	JPHY	USD	JPHY SW	JPHY.S	BQFJY78
Deutsche Borse	JPUA	EUR	JPUA GY	JPUA.DE	BQFJY89
Borsa Italiana	JPHY	EUR	JPHY IM	JPHY.MI	BQFJY90

Month in Review

- **The ETF returned 0.92%**, underperforming the benchmark by 7bps (gross of fees, US dollars).
- **The overweight to the capital goods sector** was the top contributor to performance, largely driven by our overweight to JELD-WEN Inc. Our overweight to the transportation sector was the second top contributor to performance, largely driven by our overweight to Hertz Global. At an issuer level, our overweight to Charter Communications Inc, our avoidance of Mercer International Inc and our overweight to Bausch Health Companies Inc were significant contributors to performance.
- **Our underweight to the finance sector** was the top detractor from performance, led by our avoidance of Jane Street Group LLC and Navient Corporation. Credit selection within the consumer noncyclicals sector was the second top detractor from performance. Our overweight to Accendra Health Inc and our avoidance of MPH Acquisition Holdings were significant detractors within the sector. At an issuer level, our overweight to iHeartMedia Inc and our avoidance of TIBCO Software Inc and Paramount Global were significant detractors from performance.

Looking Ahead

- **HY reporting season was strong** and included bullish guidance, with 3.8x as many HY companies beating EBITDA expectations as missing and 2.3x as many providing positive guidance versus negative, reinforcing a constructive fundamental backdrop.
- **Markets remain sensitive** to the evolving rate environment and geopolitical headlines, and pockets of idiosyncratic risk persist, particularly within the cable and satellite sector. We continue to forecast a 2026 HY bond and leveraged loan default rate of 2.25% apiece, which we expect to rise in 2027 to 2.75% for HY and 4.50% for leveraged loans.
- **While spreads remain near historical tights**, with BB and B spreads only 2% and 3% above their post-GFC lows, yields are still attractive, suggesting returns should be driven primarily by carry with limited scope for further spread compression.

Opinions, estimates, forecasts, projections and statements of financial market trends are based on market conditions at the date of the publication, constitute our judgment and are subject to change without notice. There can be no guarantee they will be met.
All data is sourced by J.P. Morgan Asset Management and is correct as at the date of this commentary.

Performance and positioning

%	1M	3M	6M	YTD	1Y	Since inception
Fund	0.88	0.81	2.06	2.78	5.22	6.69
Benchmark	0.99	0.94	1.94	2.60	4.78	6.16
Excess return (geometric)	-0.11	-0.13	0.11	0.18	0.42	0.50

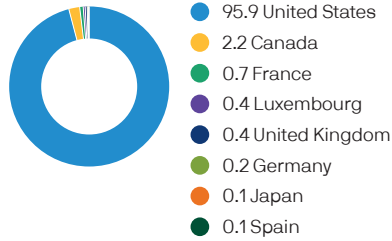
%	2025
Fund	9.34
Benchmark	8.50
Excess return (geometric)	0.77

Past performance and forecast is not a reliable indicator of current and future results.
Source: J.P. Morgan Asset Management. Share class performance is shown based on the NAV (net asset value) of the share class with income (gross of shareholder tax) reinvested including actual ongoing charges excluding any entry and exit fees. Performance over one year is annualised. Performance is shown based on the NAV which may not be the same as the market price of the ETF. Individual shareholders may realize returns that are different to the NAV based returns. Share class inception date is 26.11.2024.

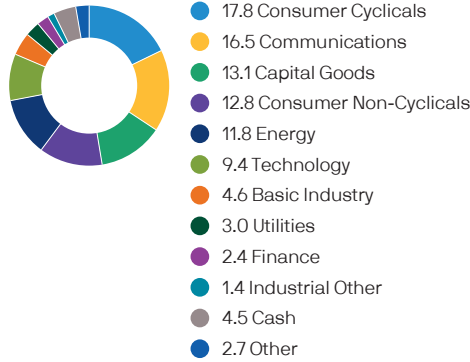
Holdings

TOP 10	Coupon rate	Maturity date	% of assets
CCO	4.75	1/3/30	1.3
CCO	4.50	15/8/30	1.0
Emerald Debt Merger	6.63	15/12/30	0.9
CCO	4.25	1/2/31	0.8
Dish DBS	5.25	1/12/26	0.8
iHeartCommunications	9.13	1/5/29	0.8
Entegris	5.95	15/6/30	0.8
Mauser	7.88	15/4/30	0.7
Bausch Health	10.00	15/4/32	0.7
Vistra	7.75	15/10/31	0.7

Country breakdown (%)



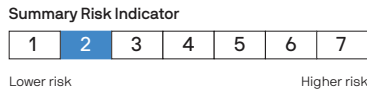
Sector breakdown (%)



RISK PROFILE

The value of your investment may fall as well as rise and you may get back less than you originally invested. The value of debt securities may change significantly depending on economic and interest rate conditions as well as the credit worthiness of the issuer. Issuers of debt securities may fail to meet payment obligations or the credit rating of debt securities may be downgraded. These risks are typically increased for below investment grade debt securities which may also be subject to higher volatility and lower liquidity than investment grade debt securities. Convertible bonds are subject to the credit, interest rate and market risks associated with both debt and equity securities and to risks specific to convertible securities. Convertible bonds may also be subject to lower liquidity than the underlying equity securities. Contingent convertible debt securities are likely to be adversely impacted should specific trigger events occur (as specified in the contract terms of the issuing company). This may be as a result of the security converting to equities at a discounted share price, the value of the

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The risk indicator assumes you keep the product for 5 years. The risk of the product may be significantly higher if held for less than the recommended holding period. In the UK, please refer to the synthetic risk and reward indicator in the latest available key investor information document.

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